

Lap of Luxury

The luxury goods market is witnessing double digit growth and big names are all cashing in

When the Euro 15.3-billion (Rs 86,000 crore) Louis Vuitton Moët Hennessy (LVMH) group entered India with their designer trunks and limited edition handbags, few expected them to find a viable market in a price sensitive country like India. Five years on, Louis Vuitton is not only a rage in the country but the brand "enjoys 90 per cent share of the luxury market in the country today," says Tikka Shatrughit Singh of Louis Vuitton. Interestingly, the buyers lapping it up aren't the erstwhile Maharajas but industrialists and yuppies. With the Indian economy on a scorching growth trajectory, the luxury segment has moved on from monogrammed handbags to Ferretti Yachts. Evidently, there's something cooking in the Indian luxury market. Following LV's successful dalliance, luxury brands have been pouring into the country. From the elegant Brioni to Salvatore Ferragamo, every luxury brand worth its salt is either present in India or is working on its India strategy.

Though the hype may be more around fashion, a much larger market outside this orbit is one of luxury assets—which mainly includes deluxe homes, private jets, yachts and art. The size of this market is \$2.9 billion (Rs 11,400 crore) compared to a measly \$377 million (Rs 149 crore) market size for the luxury products. And by 2015, India's luxury market is slated to touch \$30 billion (Rs 1,18,700 crore). Gautama Dutta, vice-chairman of Marine Solutions, a company which sells Ferretti Yachts and Sea Ray boats in India, testifies this trend, "Despite poor infrastructure, we have already sold 30 boats in India."

With changing economics, LVMH group is planning a \$500-600 million (Rs 1,980 crore-2,375 crore) private equity fund in India, which will invest in brands and retail chains. That's

not all, for the first time in the history of the global luxury giant, Vuitton will manufacture shoes in India.

Indians are constantly trading upwards and experimenting all the time. While the market for super premium and luxury may be small, it's growing in double digits. But the hype and hoopla around India's potential isn't terribly misplaced. According to Merryl Lynch-Cap Gemini Report, there are about 1,00,000 households in India with an annual income of \$1 million (Rs 4 crore) and above. And hold your

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per capita consumption is driving the luxury market in India today."

However, in terms of priority, not many of these households are customers of Cartier or Vuitton, says Saloni Nangia, associate director, Technopak. The priority list of rich Indians has housing right on top, which is followed by travel, education, high-end automobiles, entertainment electronics and at the bottom of the list are home and lifestyle improvement products.

While the millionaire category is a definitive consumer of luxury, the



1,00,000

households in India have an income of more than Rs 4 crore per annum

16 lakh

households spend more than Rs 3.56 lakh per year on luxury goods and services

Rs 11,400 cr

is the worth of the luxury assets' market in the country

breath, this segment of crorepatitis is growing at a fast clip of 15 per cent per annum. According to retail consulting firm Technopak, about 1.6 million households earning over \$100,000 (Rs 40 lakh) or more annually, spend \$9,000 (Rs 3.56 lakh) per year on luxury goods and services. Explains Neelesh Hundekari, principal at AT Kearney and author of the report on luxury: "Rapidly growing base of high net worth individuals, availability and increased

segment that the world is talking about is the great Indian middle-class with an income of Rs 10 lakh and above. There are 785,000 households across 20 cities in India. According to the AT Kearney-ET study, cities like Pune, Ahmedabad and Surat with high numbers of rupee millionaire households, are potential targets of low ticket size luxury brands, while Baroda, Hyderabad and Asansol are targets of large ticket size luxury items. Small wonder, most luxury